THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM THREE
062 BOOK KEEPING

Time: 3 Hours. **Thursday, 27th August 2026 a.m.**

Instructions

1. This paper consists of sections A, B and C with a total of **nine** questions.
2. Answer **all** questions.
3. Sections A carries fifteen marks and B carries forty marks and Section C carries forty-five marks.
4. All writings must be in blue or black ink.
5. All answers must be written in the spaces provided.
6. Cellular phones and any unauthorized materials are **not** allowed in examination room.

SECTION A (15 MARKS)

Answer **all question** in this section

1. For each of the items (i) to (x) choose the correct answer from among the given alternatives and write its letter beside the item number in the box provided
   i. A machine was purchased for TZS 20,000,000 on 1st January 2025. Depreciation is charged at 10% per annum on the straight-line basis. What is the depreciation expense for the year ended 31st December 2025?
      A. TZS 1,000,000
      B. TZS 2,000,000
      C. TZS 10,000,000
      D. TZS 18,000,000
      E. TZS 22,000,000

   ii. If the cost of goods sold is TZS 16,000 and the profit margin is 20%, determine the amount of sales.
      A. TZS 20,160
      B. TZS 13,600
      C. TZS 20,000
      D. TZS 21,000

E. TZS 19,200

iii. A cash or goods taken by the proprietor from the business for private use
   A. Finance
   B. Cash
   C. Drawings
   D. Capital
   E. Expenditure

iv. Which document is used to deposit money in the current account?
   A. Cheque book
   B. Paying in slip
   C. Bank statement
   D. General ledger
   E. Pass book

v. How would a credit balance brought down on a rent income account be interpreted?
   A. Rent has been paid in advance at that date.
   B. Rent has been paid in excess of the required amount
   C. Rent has not yet paid until that date.
   D. Rent is owed by the business at that date.
   E. Rent has been paid in full amount at that date.

vi. How are the records maintained by accounting officers for proper control of expenditure of public funds against provision of funds called?
   A. Vote book
   B. Expenditure accounts
   C. Cash book
   D. Special accounts
   E. Receipts accounts

vii. Which categories of errors represent errors which do not affect the Trial balance agreement?
   A. Errors caused by inaccurate arithmetic operations
   B. Errors which cancel out each other in the trial balance
   C. Errors caused by omission of a balance of account
   D. Errors caused by entering an item once in an account
   E. Errors caused by posting an item on a wrong side of an account

viii. Where is the total of discounts allowed column in the cash book posted?
   A. To the debit of discounts allowed account
   B. To the debit of discounts received account
   C. To the credit of discount allowed account
   D. To the credit of discount received account
   E. To the credit of the bank account

ix. Which accounts balances would appear on the debit column of the Trial balance?
   A. Account payable and account receivable
   B. Discount allowed and discount received
   C. Rent received and account receivable
   D. Account receivable and interest paid
   E. Interest paid and bank overdraft

x. Your school bought a combine harvester machine for TZS 20,000,000. It is to be depreciated at a rate of 25% per annum on diminishing balance. What would be the remaining book value of the machine after 2 years?
   A. TZS 10,000,000
   B. TZS 15,000,000
   C. TZS 16,250,000
   D. TZS 5,000,000
   E. TZS 11,250,000

2. Match each item in List **A** with the correct response in List **B** by writing its letter below the number of the corresponding item in the answer table provided.

List A	List B
i. A pool of funds whereby all government collectors of revenue deposits and from which all government expenditure is drawn. ii. A fund established to provide money which will eventually assist either in whole or in part to repay public debt. iii. A fund set aside from the consolidated fund to meet a special purpose for example a civil contingency fund. iv. A fund established to cater for urgent payments, for urgent services, which could not have been foreseen and provided for. v. An expenditure authority granted by accounting officer covering authority for specific expenditure	A. Sinking fund B. Virement C. Special fund D. Consolidated fund E. Government fund F. Warrant of fund G. Civil contingency fund.

SECTION B (40 MARKS)

Answer **all questions** from this section

3. Explain the following the following concepts.
   (a) Revenue recognition concept
   (b) Matching concept
   (c) Historical cost concept
   (d) Consistency principle
   (e) Duality principle

4. (a) Classify the following items as either revenue or capital expenditure:
   i. An extension to an office building costing TZS 24,000.
   ii. The cost of replacement valves on all the labelling machines in a canning factory.
   iii. Repairs to the warehouse roof.
   iv. Annual service costs for a courier firm's fleet of vans.
   v. A new bicycle purchased by a newsagent for use by the newspaper delivery boy

   (b) From the following given table below, ascertain the amount of salaries to be charged to the income statement for the year ending on 31st December 2020.

Total salaries paid for the year in TZS	TZS
Salaries paid in advance as on 31st December2019	19,500,000
Salaries paid in advance as on 31st December 2020	8,700,000
Outstanding salaries as on 31st December 2019	11,300,000
Outstanding salaries as on 31st December 2020	10,500,000

Cash paid during the year	75,200,000

5. The following is a summary of a cash book as presented by Njema enterprises cash book for the month of September 2023.

Details	Folio	Amount	Details	Folio	Amount
Balance	b/d	4,221,000	Payments		46,560,000
Receipt		45,219,000	Balance	c/d	2,880,000
		49,440,000			**49,440,000**
Balance	b/d	**2,880,000**			

Njema received a bank statement on 5th October and discovered that:

i. The bank statement shows a credit balance of TZS 219,000 as at 30th September 2023.
ii. Bank charges of TZS 105,000 for the month of September 2023 were not entered in the cash book.
iii. Dividend amounting to TZS 282,000 was collected by the bank during September 2023.
iv. A cheque of TZS 54,000 received from Salim and deposited into the bank during the month was dishonored by Salim bank.
v. Cheque paid to suppliers TZS 642,000, TZS 1,110,000 and TZS 90,000 have not been presented for payment.
vi. Deposit of TZS 4,626,000 made on 30th September were not credited by the bank until 2nd October.

Required: Prepare a bank reconciliation statement as at 30/09/2023 starting with cash book balance.

6. On 31st December 2021 the trial balance of Kinehe did not agree. The credit balances exceeded the debit balances by TZS 128,000. This difference was placed in the suspense account. Upon investigation, the following errors were observed:

i. Sales account was overcast by TZS 144,000.
ii. Insurance expense account was undercast by TZS 64,000.
iii. Cash received from a debtor was entered in the cash book only TZS 80,000.
iv. A cash purchase of goods for TZS 94,400 was entered in the books as TZS 152,000.

Required:

(a) Show the journal entries necessary to correct the book- keeping errors.
(b) Draw up the suspense account.

SECTION C (45 MARKS)

Answer **all** questions in this section.

7. Seypalm contractors Ltd, started business on 1st January 2015. Their purchases and disposal of machines over the subsequent three years were as follows:

Machine	Date of purchase	Cost
MV 1	1st January 2015	5,000,000
MV 2	1st January 2015	2,500,000
MV 3	1st January 2017	7,00,000

MV 2 was sold on 1st January 2017 for TZS 900,000. A provision for depreciation on all machines at the rate is calculated at the rate of 20% per annum on cost.

Use the information provided, write up the following accounts as they would appear in the company's books for the three years ending 31st December 2015, 2016 and 2017.

(a) Machine account
(b) Provision for depreciation on Machine account
(c) Disposal of Machine account

8. The following information was extracted from the book of Form Three Trading Organization for the month of May 2017:

Sales ledger balance: 1st May	Dr. 624,200
	Cr. 6,420
Purchases ledger balances: 1st May	Dr. 3,220
	Cr. 552,420
Receipt from credit customers	663,040
Payments to trade creditors	592,500
Credit sales	734,380
Cash sales	252,040
Credit purchases	435,520
Interest charged to debtors	300
Debtors cheque dishonored	6,300
Discount received	28,320
Discount allowed	30,420
Returns inwards	15,640
Returns outwards	8,420
Bad debts written off	11,160
Sales ledger debits transferred to purchases ledger	2,400
Sale ledger balances 31st May	Cr. 7,920
Purchases ledger balances 31st May	Dr.4,380

Required: Using above information, prepare the accounts receivable and accounts payable ledger control accounts for the month of May 2017.

9. A bell has kept records of his business transactions in a single entry form. But he did not realize that he had to record cash drawings, his bank account for the year 2018 is as follow:

Particulars	**Amount**	**Particulars**	**Amount**
Balance 1/1/2018	920	Cash withdrawn from bank	12,600
Receipts from debtors	94,200	Trade creditors	63,400
Loan from F Tung	2,500	Rent	3,200
		Insurance	1,900
		Drawings	11,400
		Sundry expenses	820
		Balance 31/12/2018	4,300

	97,620		**97,620**

Records of cash paid were: sundry expenses TZS 180, Trade creditors TZS 1,310. Cash sales amounted to TZS 1,540.

Details	**31/12/2017**	**31/12/2018**
Cash in hand	194	272
Trade creditors	7,300	8,100
Debtors	9.200	11,400
Rent owing	-	360
Insurance paid in advance	340	400
Van (at valuation)	5,500	4,600
Stock	24,200	27,100

You are required to draw a income statement for the year ended 31st December 2018, and a statement of financial position as at that date. Show all of your workings.